



Qualification Programme Examination Panelists' Report

Module 12 – Business Finance (June 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

Over performance in this section was fair. Candidates are weak in application and sometime misunderstood the question requirement. Candidates are strongly advised to read the case and question requirements carefully and apply relevant technical knowledge according to the case background when planning and writing their answers. Merely copying materials from the learning pack into answers without further explanations and applications should be avoided. Candidate should manage their time wisely so that they can complete all the examination questions.

Specific Comments

Question 1(a) – 8 marks

This question required candidates to advise the Board of Director of the reasons why the acquisition should be postponed based on the regulatory requirements of business acquisition in Hong Kong and the negative consequences to the Group if the acquisition is not postponed.

Most of the candidates understood the requirements of the question, and nearly half of the candidates were able to apply the Codes on Takeovers and Mergers and Share Buy-backs to explain why the acquisition should be postponed. However a lot of candidates were not able to identify negative consequences if the acquisition was not postponed. Most of the candidates only mentioned that the Codes do not have the power of legal enforcement power thus displaying an insufficient understanding.

Candidates are advised to understand more about the consequences of breaching the Codes and apply the knowledge in their answers.

Question 1(b) – 7 marks

This question required candidates to determine the ethical issues of a professional accountant with examples that the new group financial controller needs to consider in acquiring BSL.



The question was designed to test candidates' analytical skills and ability to apply the Code of Ethics for professional accountants involved in business acquisitions. Only a few candidates were able to answer the question satisfactorily. Most of the answers were either too general or not relevant to this acquisition. Candidates showed an insufficient understanding and application of the Codes of Ethics.

Candidates are advised to read the question carefully and to apply the Codes of Ethics to address ethical issues in business acquisition analytically and in specific relation to the case.

Question 2 (a) – 6 marks

This question required candidates to act as the finance director of GNL and to handle the existing situation by negotiating with creditors so that GNL could operate continuously to pay off outstanding liabilities.

Most candidates were able to understand the requirement of the question, but only a few candidates were able to apply the Scheme of Arrangement to restructure outstanding liabilities if GNL was able to get all creditors' agreements. A lot of candidates mentioned different kinds of financing methods that were not relevant in this question. Some candidates focus their answers on information that GNL needs to prepare and share with the creditor for the negotiation, which were not relevant to address the question requirement.

Candidates are advised to read the question carefully and focus on discussing how GNL could negotiate with creditors and get their agreements so that GNL could continue their businesses to pay off outstanding liabilities by the Scheme of Arrangement.

Question 2 (b) – 4 marks

This question required candidates to describe the worst situation that could happen to GNL if the company could not resolve the insolvency situation.

Most of the candidates were able to mention that creditors could petition to the court to liquidate GNL and that the court, through compulsory liquidation, could appoint a liquidator to sell GNL's assets to repay outstanding liabilities based on distribution priority.

Candidates are advised to focus on compulsory liquidation; that was the worst situation that could happen to GNL in this case.

Question 3 – 10 marks

This question required candidates to act as the new financial controller of the Group to prepare an email to the chief financial officers of GH to introduce ESG reporting principles with examples related to the environment section when the Group prepares the ESG report.



A lot of candidates did not understand the question which required application of ESG reporting principles rather than simply stating the general ESG reporting guidelines and disclosures on environmental aspects. Moreover, a lot of candidates were not able to provide suitable examples to illustrate each ESG reporting principle.

Merely copying information from the learning pack without applying such material to examination questions are not recommended. Candidates are advised to look at the questions carefully before they write an answer. Moreover, candidates are advised to write in a proper email format to answer this specific question.

Question 4 (a) – 13 marks

This question required candidates to calculate the financial effects before and after the acquisition of the property on the weighted average cost of capital of the Group.

About half of the candidates calculated the cost of debt before acquisition correctly. Some candidates did not consider tax shield and debt face value in their calculations. Only a few candidates were able to de-leverage the equity beta after the acquisition when they calculated the weighted average cost of capital after acquisition.

Candidates are advised to understand the knowledge and calculation of weighted average cost of capital in change of capital structure situation in particular to the calculation of cost of debt in debt instrument.

Question 4 (b) – 2 marks

This question required candidates to explain the major reasons assuming that there is an increase in weighted average cost of capital of the Group after the acquisition of the property.

Most candidates were able to mention the increase of financial risk that increased the weighted average cost of capital. Only a few candidates were able to mention that the equity holders also asked for high return to compensate the increase of financial risk in this case.

Candidates are advised to understand the impact of increase in debt that could also affect cost of equity and have an impact on the weighted average of capital.

(II) Section B – Essay/Short Questions

General Comments

The overall performance was below average. Candidates performed better in calculations but badly in providing advice. Candidates' analytical skills are weak especially their ability to apply knowledge to provide specific advice to the background given.



Specific Comments

Question 5(a) – 9 marks

This question required candidates to refer to Porter's Five Forces to advise what external analysis should be performed regarding the impact of the strategic decision of the acquisition.

The performance of the candidates was not satisfactory. The answers provided by the candidates were too generic, i.e., providing information about Porter's five Forces without focusing on the impact of the strategic decision and failing to provide an extensive discussion.

Only a few candidates could provide a quality discussion on how the bargaining power and customer are related according to the background information of the question, which demonstrates that candidates are weak in applying their knowledge to specific situations.

Question 5(b) – 9 marks

This question required candidates to assess and recommend how the Company could use the different financial strategies to determine its funding decisions.

The performance of the candidates was bad. Most of the candidates misunderstood the requirements and provided a generic discussion on different sources of funding, and compared the equity finance versus debt financing without consider the duration of the funding requirement.

Most of the candidates could not refer to the payback period as well as the expected life in order provide relevant financing strategy to match such maturity.

Question 5(c) – 3 marks

This question required candidates to advise on the required process for the public offer of corporate bonds in Hong Kong by referring to appropriate legal and regulatory framework.

The performance of the candidates was very poor. A lot of candidates did not attempt this question and those who did provided irrelevant answers related to public offer of equity, i.e., initial public offering.

Candidates are recommended to familiarize themselves with the legal and regulatory framework of bond offering in Hong Kong.



Question 6(ai) – 4 marks

This question required candidates to prepare common-size analysis for two companies given in the question.

The performance of the candidates was average. Many candidates adopted an appropriate methodology and provided an appropriate calculation. However, many candidates provided generic ratio analysis which demonstrates those candidates were not familiar with common-size analysis and its requirements.

Candidates are recommended to get familiar with the common-size analysis and read the question requirement properly before attempting to answer the question.

Question 6(aii) – 5 marks

This question required candidates to analyse and compare the financial performance of the two companies based on the common-size analysis performed in the previous question.

The performance of the candidates was poor. Many candidates provide generic comments by describing the trend instead of explaining the results. Candidates failed to provide a relevant discussion referring to the background especially the specific nature of the companies and industry in the question.

Candidates tended to provide generic discussions when they were required to analyse the financial performance; candidates need to improve their analytical skills.

Question 6(b) – 2 marks

This question required candidates to advise how the financial analysis can contribute to enterprise risk management (“ERM”).

The performance of the candidates was average. Most of the candidates mentioned that financial risk can contribute to ERM with only few candidates who could further mention that financial ratio is an important indicator.

Candidates provided generic answers related to the nature of financial analysis without addressing the question requirement which focused on enterprise risk management.

Candidates are recommended to focus their answer to the question requirement.



Question 6(c) – 4 marks

This question required candidates to prepare a stress test against the company's probability given in the questions by advising the respective breakeven interest rate.

The performance of the candidates was very poor. Many candidates did not attempt this question. Those candidates who attempted this question failed to get the appropriate answer.

Candidates demonstrated that they are weak in the fundamental knowledge of interest rate and its calculation.

Question 6(d) – 2 marks

This question required candidates to advise the measures to mitigate the interests rate risk.

The performance of the candidates was good. Most candidates were able to discuss the relevant measures to mitigate interest rate risk.

Question 7(a) – 7 marks

This question required candidates to propose appropriate valuation methods and calculate the respective valuation accordingly.

The performance of the candidates was good. Most candidates were able to provide relevant valuation methods and calculate the respective valuation properly.

Question 7(b) – 2 marks

This question required candidates to justify the expected return to be used for a private company when calculating the valuation.

The performance of the candidates was poor. A lot of candidates did not attempt this question, and those who did attempt this question provided wrong justifications. Very few candidates were able to address that the liquidity of private companies is different from public companies.

Candidates are recommended to get familiar with the valuation especially for a private company.

Question 7(c) – 3 marks

This question required candidates to advise whether hedging is needed in the question and calculate the respective exposure in various scenarios.



The performance of the candidates was poor. There were a lot of mistakes from the calculation provided by the candidates, such as wrong conversion of currency and mix up the amount of final payment with the total consideration. Some candidates provided irrelevant arguments related to the forecast forex rate provided by bank.

Candidates are recommended to get familiar with hedging and its calculation.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was fair. To better answer the questions, candidates should learn how to apply technical and practice knowledge, such as ESG reporting principles, calculation of weighted average cost of capital, debt restructure, the Codes of Ethics. It is also expected that candidates should be able to calculate the weighted average cost of capital after the change of capital structure. Moreover, candidates should improve their time management skills so that they can complete all questions in the examination. Candidates should also practice using past examination papers to strengthen their analytical and writing skills that are key components in Module 12 examinations.

Candidates were weak in providing advice; the advice provided by candidates was too generic without connecting to the specific situations given in the case.

Candidates should develop their skills for providing specific advice and understand the background of the questions instead of providing generic advice and irrelevant information.

Candidates shall also improve their technical knowledge such as hedging and interest rate risk.